

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 16-16

MAVL CAPITAL, INC.,
IAM & AL GROUP INC., and MAXIM OSTROVSKIY,

Complainants,

– vs. –

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,

Respondents.

COMPLAINANTS' REMAND REPLY BRIEF

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Complainants MAVL CAPITAL, INC., IAM & AL GROUP INC., and MAXIM OSTROVSKIY (collectively “complainants”), by their counsel, Marcus A. Nussbaum, Esq. hereby respectfully submit their Remand Reply Brief pursuant to the Chief Administrative Law Judge’s (“ALJ”) Order Amending Schedule of March 29, 2021.

As explained in detail below, in attempting to blame complainants for allegedly abandoning the subject Mercedes and Porsche for alleged failure to pay MTL invoices and allegedly being non-responsive to an MTL’s emails, respondent MTL, by its counsel, Mr. Pogil, has made numerous allegations which are flatly contradicted by the evidence on the record. For example, this evidence includes the sworn responses to interrogatories of Alla Solovyeva (cited in complainants’ Remand Brief) that the cars had been sold pursuant to Clause 15 of MTL’s House Bill of Lading, and the Declaration of Alexandr Solovyev that Car Express had nothing to do with the Mercedes, referred to in the accompanying Response to MTL’s Proposed Statement of Facts). With regard to the email which MTL alleges that complainants never responded to, it simply contains what complainants received the following day on May 10, 2013.

Complainants’ evidence also includes the Certification of Solovyeva and Solovyev of January 11, 2019 in response to a Court Order to produce documents and emails that, where they certify that after a search, that no further documents exist (which would include the purported email referred to in MTL’s opposition papers).

As explained in detail below, MTL’s arguments in opposition regarding alleged abandonment and/or that MTL did not act unreasonably, are flatly contradicted by the deposition testimony of Mr. Alper, who was the Director of Operations of MTL at the time that the events alleged in the complaint occurred. MTL’s novel claim that Mr. Ostrovskiy was non-responsive to the purported email now produced by MTL is also contradicted by the email attachments to the Declaration of Mr. Alper (also referred to in the accompanying Response to MTL’s Proposed

Statement of Facts) which clearly demonstrate that Mr. Ostrovskiy regularly communicated with MTL and with Solovyev using multiple email addresses both prior to and after the date of the alleged email now produced by MTL (Solovyev's Declaration referred to above also contains such emails).

Accordingly, and for these reasons and the additional reasons set forth below, MTL has abject failed to interpose opposition sufficient to warrant denial of all relief requested by complainants herein, which should now be granted in its entirety, including an award of reparations and attorneys' fees.

Prior to addressing the arguments proffered by MTL in opposition to Complainants Remand Brief, complainants again ask the Presiding Officer to note the following facts up front as will be relevant in response to MTL's opposition¹:

- Mr. Alper was the Director of Operations at MTL during the relevant time period (FF#'s 78-79, 83)
- Mr. Alper was a Qualifying Individual ("QI") as defined by the Commission (FF# 8)
- As a QI and in his capacity as Director of Operations of MTL, Mr. Alper had a duty to protect the interests pursuant to 46. U.S.C. 4090(a).
- The March 4, 2014 Declaration of Dimitry Alper states, at ¶ 2 as follows: "I am fully familiar with the facts and circumstances of this case and make this declaration on personal knowledge." (FF# 43)
- Alper is the son-in-law of Third-Party Defendants Alla Solovyeva and Aleksandr Solovyev and occupied a unique position of trust in MTL. (FF# 85)
- As set forth herein, Solovyev and Alper provided MEAA with what appears to be fake invoices from the auto auction warehouse known as "COPART" purporting to demonstrate that respondents had lawfully purchased the Mercedes and Porsche at auction, now confirmed by Copart to be false documents. (FF#'s 59, 65, 69, 92 and 105).

¹ Complainants also note up front that the Presiding Officer's Remand Scheduling Order of December 10, 2020 specifically directed that the remand briefs must be limited to the pending issues, including the Porsche and the 41102(c) claim regarding the Mercedes. To the extent that MTL's opposition brief addresses matters outside of the scope of the Remand Scheduling Order, those matters will not be addressed here.

- Mr. Alper testified that MTL’s contention that Maxim Ostrovskiy was not the owner of the subject Mercedes during the time of the ocean transportation of the car (and that it was rather MTL that was the owner), and that MTL had allegedly confiscated and sold the Mercedes pursuant to a purported warehouse lien prior to export, is not consistent with the fact that between June of 2013 and March of 2014, MTL reduced the amount allegedly outstanding for the Mercedes from \$2354 to \$900 and also changed the name of the customer in its balance statement from “IAM & AL Group, Inc.” to “Maxim Ostrovskiy”. (FF# 45)
- In his deposition, Mr. Alper testified that the export of the subject cars to Dubai was at the very least, a misdelivery. (FF# 49)
- In his deposition, Mr. Solovyev represented that the cars were imported to Dubai at the request of a customer - - specifically, in his deposition on November 20, 2015 in the matter of Crocus Investments, LLC et al., v. Marine Transport Logistics, Inc., et al. (FMC Docket No.: 15-04) and with respect to the Porsche and Mercedes, he testified that he was shipping them as part of “a business for one of the customers in [the] U.S.A. [who asked Solovyev] to sell them in Dubai...” and that “It was a customer who was shipping [the Porsche] and Mercedes...”. (FF# 24).
- At times, Solovyev or one of his companies acts agent for MTL (FF# 18).
- Solovyev represented that the cars were imported to Dubai at the request of one of the customers in [the] U.S.A. Specifically, Solovyev testified, on November 20, 2015 that with respect to the Porsche and Mercedes, that he was shipping them as part of “a business for one of the customers in [the] U.S.A. [who asked Solovyev] to sell them in Dubai...” and that “It was a customer who was shipping [the Porsche] and Mercedes...to sell...and return money back to...the United States ...”. (FF# 27)
- In his Declaration submitted to the Court in the matter of MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al., (U.S.D.C. – E.D.N.Y Docket No.: 13-cv-07110), Solovyev stated that: “Car Express and Royal Finance Group were not involved with the 2006 Mercedes SL65”. (FF# 109).
- On January 11, 2019, Solovyev and Solovyeva provided Certifications explaining that “no additional responsive documents exist, other than what was already provided to date...” (See Remand Brief at P. 59 referencing Motion for Discovery Related Sanctions Doc. 59 filed January 27, 2021 at Appendix “V”, “W” and “X”.
- As explained in Complainants’ Motion for Discovery Related Sanctions, the invoices attached to MTL’s December 29, 2020 email have been newly created, are false, and were done so in order to defraud the Commission inasmuch as MTL has forgotten (due to the passage of time) that it previously provided these documents to the Court in 2013. Further, and to the extent that the invoices attached to the December 29, 2020 email have been newly created, are false, and were never produced in the history of the parties dealings over the last eight (8) years, complainants ask the Presiding Officer to take note

of the recent Certification signed by Alla Solovyeva and Aleksandr Solovyev on January 11, 2019. That Certification was signed by Alla Solovyeva and Aleksandr Solovyev on behalf of MTL in compliance with two separate Court Orders issued by Magistrate Judge Michael A. Hammer on May 21, 2018 and January 9, 2019.

- The May 21, 2018 Court Order directed MTL to produce: a) any correspondence in its possession with Andrey Tretykov referring to the 2006 Mercedes and 2011 Porsche, by June 11, 2018; and b) any documents and correspondence relating to payments made for services performed in connection with the Mercedes and Porsche by June 11, 2018.
- The January 9, 2019 Court Order directed MTL to provide a Certification, on or before January 17, 2019, that any documents provided pursuant to the May 21, 2018 Court Order "...are all documents found after a complete and thorough search..." and that if no responsive documents are found, to certify that "...after a complete and thorough search, no responsive documents exist...".
- In the January 11, 2019 Certification, Alla Solovyeva and Aleksandr Solovyev both certified that: "...after a complete and thorough search, no additional responsive documents exist, other than what was previously provided to date".

I. MTL WAS A REGULATED ENTITY WITH RESPECT TO THE SUBJECT VEHICLES

While MTL argues that there was allegedly "no dispute that the subject vehicles were not exported before complainants abandoned such vehicles...", that argument is belied by the facts. For example, in MTL's Response to Plaintiffs' Interrogatories identified in complainants' remand brief (proposed FF# 36), Alla Solovyeva states under oath as follows:

"the 2006 Mercedes SL65 VIN#3072, 2011 Porsche Panamera VIN#7399...were exported to Dubai, UAE for sale by Car Express & Import Inc. pursuant to Clause 15 of the MTL House Bill of Lading ...the 2011 Porsche Panamera VIN#7399 and 2010 Bobcat are currently in storage in Dubai, UAE. The 2006 Mercedes SL65 VIN#3072 was sold pursuant to Clause 15 of the MTL House Bill of Lading...for unpaid freight and other charges owed by plaintiffs".

Complainants' proposed findings of fact 110-112 highlight the \$10,000.00 paid by complainant IAM to Royal Finance Group, Inc. ("RFG") for ocean freight and other charges for the Porsche; that MTL never provided complainants with a statement of account for these monies and that MTL invoiced RFG for ocean freight and other charges for the Mercedes and Porsche instead of complainants, ultimately begging the question as to why complainants would abandon

a Porsche worth \$67,000.00 after having paid \$10,000.00 to RFG, or why complainants would abandon a Mercedes which had been imported by complainants, owned by them, provide instructions to MTL to export back to Germany, and await a final invoice from MTL which was supposed to have final charges for storage and ocean freight - - the answer is that there was never any abandonment, and with regard to the Mercedes (valued in excess of \$48,000.00), there was no abandonment over an alleged unpaid balance of \$900 in storage charges.

MTL similarly argues that the "...can be no question as to the fact that no express or implied contract for transport to a foreign port existed...". That argument is similarly flatly contradicted by the facts and evidence on the record. For example, Raya Bakhirev testified that the warehouse receipt for the Mercedes was not a fraudulent document and that "...customers bring cars to be shipped by MTL...". (FF# 39) Also, the Bill of Lading from Y&N Towing Transport Inc. for the inland transport of the Porsche indicates pickup from the IAAI auto auction warehouse where it was purchased, and delivery to MTL's warehouse, with a handwritten note on a 'Post It' which reads: "Max Ostrovskiy" (proposed FF# 97) and RFG issued an invoice to MAVL on April 20, 2013 for the Porsche, which included a charge of \$700.00 for: "Shipping to Kotka" (proposed FF# 98).

Additionally, proposed findings of fact 30-33 detail that Respondent Alper (who was the Director of Operations and General Counsel of MTL during the relevant time period) explained during his deposition that MTL, at the very least misdelivered the cars owned by Mr. Ostrovskiy. Moreover, Mr. Alper testified that a lien on the subject automobiles (warehouse lien or otherwise) could not simply materialize out of the air at the whim of MTL because there are legal procedures that MTL was required to follow in order to assert a lien against the subject cars in its possession prior to such cargo being confiscated and sold, and/or exported overseas – put simply MTL could not sell what it never owned.

Mr. Alper additionally testified that pursuant to Export Administration Regulations that Maxim Ostrovskiy and/or Manhattan Auto Brokers Inc. as last owner in the United States of the subject Porsche and the Mercedes should have been listed (but were not) as U.S. Principal Party in Interest (“USPPI”) on the Shipper’s Export Declaration filed by MTL with the U.S. Department of Commerce (through the Automated Export System “AES”) at the time of the export of the car.

As to the Porsche, while MTL argues that there was allegedly no evidence that Mr. Ostrovskiy intended to export the car, MTL ignores that fact that as set forth above, RFG invoiced MTL \$700.00 for shipping to Kotka, Finland and that complainants pre-paid \$10,000.00 to RFG to cover ocean freight and other charges for this car. MTL also ignores the fact that the car was delivered from the auto auction warehouse to MTL’s storage facility and that the inland bill of lading had a handwritten note on a ‘Post It’ which reads: “Max Ostrovskiy. It is also quite remarkable that two years after having exported, sold and disposed of the Mercedes and Porsche, MTL sent an email to Maxim Ostrovskiy from “Management”, explaining that monies are still due and owing and stating that his “cargo shall be auctioned as abandoned to cover above mentioned fees as well as storage and handling”². (FF# 102)

Accordingly, MTL’s argument as to the alleged absence of a contract for transport to a foreign port, or absence of regulated activity simply makes no sense, and this issue was additionally addressed in detail in the Commission’s Memorandum Opinion and Order of October 29, 2020, where the Commission made it clear that MTL was acting as a regulated entity with regard to the cargo.

² In the invoice attached to that email, MTL attempted to bill for storage of the Porsche, but not at MTL’s storage facility, but for storage of the Porsche at the auto auction where it was purchased, and for charges which complainants paid directly to the auto auction.

II. COMPLAINANTS DID NOT ABANDON THE SUBJECT VEHICLES WHICH WERE, AT THE VERY LEAST, MISDELIVERED BY MTL TO DUBAI

Without burdening the Presiding Officer with an *ad nauseum* regurgitation of the arguments already set forth as to abject absence of evidence in support of any alleged abandonment of the vehicles (which is flatly contradicted by the documents and testimony on the record), suffice it to say that this section of MTL's opposition brief similarly fails to support the argument regarding abandonment.

In the first instance, MTL erroneously conflates the issue of complainants' repairs of the vehicles (or alleged absence of the evidence of repairs) with the proposition that this is somehow proof of abandonment. Put simply, one thing has absolutely nothing to do with the other. Even if Mr. Ostrovsky stated that he never requested that anyone perform repairs on the cars anywhere, including Dubai, that would mean that he never requested anyone from MTL's staff or Mr. Safonov to perform the repairs. One cannot draw the conclusion of abandonment from this statement, and again. At the end of the day complainant IAM & AL GROUP INC. ("IAM") was an automobile dealer which purchased the 2011 Porsche from an auto action known as "IAAI" (FF #95) and it was his business to purchase cars to be sold to his customers. Mr. Ostrovskiy and IAM had a contract with Mr. Sokolov Oleg Yuryevich pursuant to which IAM had sold the Porsche to him for \$67,000.00 and received payment from him. (FF# 114). While MTL argues that there is allegedly no proof that Mr. Ostrovskiy refunded the money to the customer, that argument is flatly contradicted by the contract as well as the statement of claim attached to complainants' responses to MTL's Statement of Proposed Facts (Bates No.: CX001).

As set forth above, complainants did not abandon a \$48,000.00 car which they owned and imported from Germany as a result of \$900.00 in storage charges allegedly due and owing to MTL. To the extent that MTL repeatedly relies upon Docket Entry 60 in support of its

arguments, the complainants again incorporate the arguments made their Motion for Discovery related sanctions. That docket entry has between fifty to sixty pages of documents which have no indication of being previously produced, without bates numbers and/or without indicia of being filed on a Federal Court docket. As stated in the Motion for Discovery related sanctions, both Alexander Solovyev and Alla Solovyeva provided Certifications on January 11, 2019 in response to a Court Order to produce documents. Despite never having produced the documents in Docket Entry 60 that Certification explained that “no additional responsive documents exist, other than what was already provided to date...”. Accordingly Docket Entry 60 should be stricken from the record in this matter.

To the extent that MTL now attacks Mr. Ostrovskiy’s Certification as to the alleged silence on the issues of “...his desire to pay for storage, repair the vehicles or even ship sug overseas...”, in his deposition, Dimitry Alper testified that MTL’s contention that Maxim Ostrovskiy was not the owner of the subject Mercedes during the time of the ocean transportation of the car (and that it was rather MTL that was the owner), and that MTL had allegedly confiscated and sold the Mercedes pursuant to a purported warehouse lien prior to export, is not consistent with the fact that between June of 2013 and March of 2014, MTL reduced the amount allegedly outstanding for the Mercedes from \$2354 to \$900 and also changed the name of the customer in its balance statement from “IAM & AL Group, Inc.” to “Maxim Ostrovskiy” (FF# 45).

MTL again attempts to support its argument that there was no conversion but rather abandonment by complainants and relies upon paragraph “31” of the Complaint on this issue. IN reply thereto, the Presiding Officer may be aware that in response to ALJ Guthridge’s Order to Show Cause as to Why the Complaint Should not be Partially Dismissed of September 15, 2016 (Document 8 on this Docket) complainants explained in their October 3, 2016 response

(Document 9 at pp. 6-7 and 9-10) that the conversion occurred after the vehicles had arrived in Dubai and were sold. The cars were still owned by complainants upon arrival in Dubai and remained so until they were issued new title in Dubai.

As set forth above, the cars were never in MTL's storage lot, simply for storage and the fact that they were destined for export was already admitted to by Solovyev and Solovyeva. Mr. Alper also admitted that the cars were, at very least, misdelivered. To the extent that Mr. Alper was a QI and that MTL was licensed OTI, we also ask the Presiding Officer to take note of respondents' duty to negotiate and deal with complainants in order to resolve the issue of any alleged storage charges due and owing before simply taking the cars.

In this matter the issue of alleged abandonment is simply a fiction concocted at the last minute either by MTL or its counsel and my summary be disregarded by the Presiding Officer together with the Documents in Docket Entry 60 for reasons set forth in detail in Complainants' Motion for Discovery Related Sanctions, which are again incorporated by reference. Complainants further note that to the extent it is argued that MEAA allegedly covered storage charges due and owing to MTL for the cars, that is also flatly contradicted by the Certification of Mr. Safonov, who explained that he never paid for storage in the United States, but rather for storage in Dubai.

III. MTL ACTED UNREASONABLY WITH REGARD TO THE COMPLAINANTS AND THE SUBJECT VEHICLES

Complainants rely upon the arguments already set forth in their remand brief on this issue and remind the Presiding Officer that 2 years after the cars had been sold, MTL emailed complainants and continued to attempt to collect storage charges. Here, MTL clearly failed in its duty to negotiate.

IV. THE CONDUCT OF MTL COMPLAINED OF HEREIN WAS PART OF A COMMON CUSTOM, PRACTICE AND REGULAR MANNER OF MTL DOING BUSINESS

Complainants rely upon the arguments already set forth in their remand brief on this issue and remind the Presiding Officer that there are multiple lawsuits against MTL by various shippers, all of whom have alleged similar conduct on MTL's part which cannot be analyzed on a case by case by case basis but rather as a whole.

CONCLUSION

In closing, complainants respectfully request that the Presiding Officer consider the above described repeated violations of the Shipping Act during the course of respondents' business dealings with complainants and the ongoing nature of some of these violations, together with the facts that demonstrate that these violations occurred on a normal, customary, and continuous basis.

The Presiding Officer is asked to take note of respondents' normal, customary and continuous practice (while dealing with complainants herein, and others) of MTL's refusal and failure at all relevant times to, *inter alia*: a) follow the instructions of complainants regarding export of the cars; b) provide complainants with invoices and statements of account; and c) adhere to the rules and regulations of the Federal Export Regimes.

Consequently, and in light of respondents' repeated violations of the Shipping Act and the ongoing nature of some of these allegations it is respectfully requested that the Presiding Officer consider the foregoing, grant complainants such other and further relief as may be just and proper under the circumstances.

WHEREFORE, for the reasons set forth above, Complainants request that: (1) an order be made commanding said respondent to pay to Complainants by way of reparations for the unlawful conduct hereinabove described, the sums described herein, with interest and attorney's

fees, costs and expenses, or such other sum as the Commission may determine to be proper as an award of reparation; (2) that the Commission issue an Order holding that the respondents Dmitry Alper individually, and Marine Transport Logistics Inc. violated the Shipping Act of 1984; and (3) that the Commission issue such other and further order or orders as the Commission determines to be just and proper.

Dated: May 5, 2021
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Respectfully Submitted,

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